On Bessent, Gold & Idiosyncratic Trades

Podcast: Macro trading floor

AI Executive Summary

1. Core Thesis The episode posits that while macroeconomic headlines regarding debt deficits and structural imbalances dominate narratives, actual market volatility remains muted due to stable nominal growth and a lack of immediate inflationary crisis data. Both Alfonso Peccatillo and Brent Donnelly argue that investors should focus less on long-term solvency concerns and more on cyclical starting conditions and monetary/fiscal credibility (MFC). The central thesis centers on the US Treasury's Operation Twist-like buyback efforts as a critical test of credibility, alongside opportunities in specific emerging markets—such as New Zealand and the Czech Republic—where policy shifts offer idiosyncratic returns independent of broad macro trends.

2. Key Arguments & Data

3. **Yield Normalization:** The 30-year yield minus nominal growth hovers around 6.5%. While deficits are high (30-40 trillion), yields are normalizing due to the Fed being behind the curve regarding inflation and economic data.
4. **MFC Credibility Index:** An index combining core inflation vs. target against fiscal deficits correlates with yield curve slopes. The US and Japan penalize the least; Brazil is leading in credibility due to aggressive tightening ahead of the curve.
5. **Gold & Bitcoin Rally Driver:** Recent 20%+ rallies were driven by "starting conditions" (oversold markets, negative gold put skew) rather than just fundamental news like Besson's buyback announcements. The reaction size depends on initial positioning rather than just the magnitude of the news itself.
6. **Besson’s Buyback Duration Impact:** A $1 billion purchase of 30-year bonds has a vastly higher Dollar Value at One (DV01) risk impact than $1 billion in 5-year bonds due to duration absorption. The market views Besson's buybacks as significant despite the "small" notional numbers.
7. **Inflation Second Derivative:** Macroeconomic tail risks are driven by the second derivative of inflation rather than first derivatives. Core

inflation is above target but does not show evidence of going out of control; the labor market remains mild on the inflationary side.

8. **Debt Structure Shift:** Liability has shifted from private sector leverage to sovereign debt balance sheets, which offers more controllable risk parameters via currency, unlike foreign-currency debt crises seen in 1997/2008.

9. **US Policy Dilemma:** Lack of credible forward guidance and Besson's track record undermines the market's ability to trust policy signals. If inflation spikes, yields might act as a release valve for macro imbalances, but without Fed credibility, the risk profile is asymmetric.

10. Actionable Takeaways

11. **Monitor Bond Buybacks:** Watch US Treasury POMO operations and buyback announcements closely; larger buyback sizes signal duration absorption that could trigger gold/Bitcoin re-rallies or bond market stress.
12. **New Zealand Short NZD:** Position short on the New Zealand dollar (or related rates) in anticipation of a Labor Party win potentially reinstating a dual mandate policy, which adds friction to inflation data and interest rates.
13. **Czech Republic (CZK) Play:** Consider short positions on the Czech Koruna due to high services inflation (~5%) combined with fiscal deficits pumped by new government directives, likely prompting rate hikes.
14. **Short Polish ZLOTY:** View Poland as a complementary idiosyncratic bet; they are approaching constitutional debt limits and elections, suggesting slower growth potential compared to competitors like the Czech Republic.
15. **Ignore Doom-And-Gloom Narratives:** For traders, filter out long-term structural debt narratives (40 trillion deficits) in favor of cyclical data (inflation derivatives, yield spreads). Treat structural risks as low probability events over short time horizons.
16. **Start with Conditions:** When positioning in gold or BTC, ensure you are reacting to the current state of market participation (e.g., put skew,

volume) rather than just waiting for macro data releases that may already be priced in.

Full Transcript

The macro trading floor with me Alfonso Peccatillo, founder of the macro compass and former head of investments at the large European bank. And I am Brent Donnelly, president of Spectrum Markets. I've been a portfolio manager, day trader and market maker at the biggest commercial and investment banks in the United States. I'm also the author of Alpha Trader and the art of currency trading. If you want to know what's going on in markets and where they're going, you found the right podcast.

Hi, everyone off speaking. Welcome back to the macro trading floor as always with Brent. And before we start, you know, you guys keep sending us emails and Bloomberg pings. Where are you? You didn't do the podcast this week. I'm like, it's okay, guys, if nothing is going on, we're not going to bother you with nothing. But this week, this week or last week, we should say there has been quite some funny stuff going on. So here we are, we're back. Brent, what do you want to talk about? Man, there is actually a lot going on. It's funny because I feel like the amount of macro news and headlines and excitement is pretty high relative to the amount of actual market volatility. Like the narrative volatility is really high, but a lot of things aren't moving that much. Of course, this week we got the op-ed from Druckenmiller about deficits.

I think one of the most interesting parts of that was the whole debate over AI writing versus non AI writing, but maybe this isn't the right podcast for that. I think the deficit issue is very well known. My friend Jim Bianco told me once in 1985, he was working, he was a young guy at that time. And his boss pointed to a headline that said, US becomes a net debtor for the first time ever. negative investment net investment position or whatever. He turned to Jim and said, you know what, the dollar is screwed. This is the end of US hegemony. So that was 1985. You know, Druckenmiller has spoken about this frequently in 2010, 2013. And of course, there's a lot of logic to it. You know, how can we sustain 20 trillion in deficits or in debt? You know, how can we sustain 30 trillion in debt?

Now the question is how can we sustain 40 trillion in debt? It's extremely compelling from the intellectual side to worry about this, but it's very hard to worry about it on the, you know, as anyone, I guess if you have like a 50 year time horizon, you can worry about it. And you can also use it as a structural part of, you know, a bullish gold thesis or a bear response thesis. but as your time horizon gets shorter and as you get to my time horizon, it's just impossible to worry about these things. And I think you sent out a really good chart, and I believe Ed Yardini sent something similar, but your chart was better than his, but essentially showing the 30 year yield minus nominal growth. And it makes a pretty good case for the idea that Yields are simply normalizing right now. And yeah, sure, there's a bit of term premium. And there's a, you know, there's worries about deficits in Japan and UK and US. And those things are real. However, most of what's going on in the bond market is just a very orthodox nominal growth story. Is that a fair takeaway from your chart? I would say yes. I would say very simplistic to say because nominal growth is six and a half percent then.

30 year threshold is 6.5%. That's a very simplistic way of looking at things. It is directionally correct though. The thing that I like the most doing here is to think in how much is your central bank behind the curve because that effectively determines how much term premium investors are going to want to pay at the long end. So the way I think about it, Brent, is I've been working for a while on this little index that tries to score your country for monetary and fiscal credibility. And effectively, what you do is you look at the six-month annualized core inflation, and then you compare it with target, and then whatever country you score, it's running above target, maybe barring one or two.

But then that's fine, that inflation is above target, it can happen. Then you should have your central bank signaling to the market that they want to tighten, right? And they want to tighten heavy to offset that. And then you can regain some of the credibility in the index. And if you score like the G20 countries, only Brazil is there basically telling the market, look, you know, we are way ahead of the curve here. Everyone else is behind, who more, who less. And you have the US and Japan actually leading the pack on the least credible MFC scores. Which does make sense to me, you know, it's, you know, as you say, multiple times the Fed hasn't hit the coin question

target for what, like, five years now. So I wouldn't say they're particularly credible, right? I mean, and, and Japan is not. Well, I found super interesting is when you, when you scutter plot this index on the Y axis versus the slope of the curve, the level of yields, currency in RER terms, you find very interestingly tight relationship, especially if you penalize the score for deficits.

If you're non-credible and then you're doing primary deficits, sorry, you're even less credible than before, right? So you basically make up an index with a penalty and then you look at the slope of the yield curve and it tracks very well a bunch of countries barring the US. I mean, basically the index says the R square is 0.8, looks great, but please exclude the US because, you know, these guys have a yield curve too flat by 50 to 100 basis points. You're like, sorry. model come again. Yeah, 50, 75 basis point, long-end yields too low. And in this environment, you have best sense that says, oh, no, no, they're actually too high. We should do buybacks to limit it further. And Japan gets harassed by the market for their bad mix of monetary policy and fiscal policy, right? I mean, the yen has been under attack for what is it, like four years now, and the yield curve is exploding in the long-end in Japan and the US gets a free pass.

normally structural free pass. And then Besson says, no, I won't even a bigger free pass. And then the market goes like, okay, then no free pass anymore. Okay, should we talk about that? So that has been a very, very interesting development. Yeah. And one, I guess the most interesting thing from the Besson day is the reaction in gold and in Bitcoin. And we had been speaking a few times really since June about the setup in gold with, you know, put the options market went bid for puts. It was just grinding around 4,000. I went long a couple of times, but I lost patience. And I did manage to go along Bitcoin after the Besson thing and more on some other reasons, but also on that reason. And what's really interesting to me about the reaction in Bitcoin and gold is The you know Besson's thing, okay, does it really matter that much? You know the amounts are tiny, but it's an important signal potentially But is it really because he's just doing exactly what Yellen did even though he was a harsh critic of Yellen You know everyone's a hypocrite in politics both sides of the aisle. That's just the way it works. Anyways, so The reactions in gold and Bitcoin were like multiple

standard deviations and the reaction in yields was like basically nothing, right? So it's a super interesting situation where I think what it highlights is starting conditions being so important for things like another example is the Canadian dollar sold off a decent amount this week on the tariff spot. But again, the amounts are tiny, you know, the other tariff announcements dollar CAD actually went down. So the Canadian dollar appreciated in the past.

But again, the starting conditions were dollar cat had been selling off for weeks and weeks. It was oversold. And so it's so much easier for things to rally on news when the initial conditions are very ripe. And so we had extremely ripe conditions for Bitcoin and for gold. And then some news, which of course was like kind of biggest news, but the more important thing is everyone was asleep and the news came out of nowhere. And so. I guess the question now is where do we go from here on those things because the debasement trade has come back with the vengeance. But do you think it's maybe a bit of an overreaction or simply like, you know, a move that was going to happen anyway, and then finally it got its reason to happen? Or do you think this is the start of like gold back to new all-time highs and Bitcoin back to 120,000? My basic assumption is the one where...

Think you shared the chart that I once did for for macro research where the gold called to put skew had become Negative again after five years or people were not over with the gold calls over good put somewhere in summer Basically all the Gulf States and the central banks in Poland and Philippines and Thailand were basically selling their gold holdings to fund their economies And so this was having a big pressure down on gold and even the option market had gone no premium for gold calls at all And so I think the level of, well, draw down and fear basically in holding gold upside that evaporated positioning altogether. So it doesn't take much, right? For a volatile asset like gold or silver to stage a 20% rally, which they did. And now going forward, it's interesting because you can make an argument, Brandon, what Besendir is basically what Katayama has been doing for a long time. Just talk blah, blah, tell people, look.

This is my buyback size is now double by the way, even for the interview. Oh, and the next buyback cooperation is in September. We'll see how much buybacks we will do. You know, the typical threat of who says it's going to

be four billion. Maybe we do eight billion at that buyback just to signal to you, right? And and then I've seen people point at these notional numbers and say they're low. Ah, guys, I think that's the wrong framework. And one billion. purchase in 30 year bonds is vastly different for the market than a one billion purchasing five year bonds vastly different because the DV01 or basically the PNL of risk for basis point you're taking away from the market at 30 year or five year is very very different. So the duration absorption basically that Besson is doing is very very large at two billion is small at four billion my analyst said it's still smallish at eight billion is a pretty reasonable operation twist-like event. And if you have been around in 2000 and what was it? Man, too long. 12, 13, something like this when they did the operation twist. I think it was 2012. Man, that was quite the thing. So in 2011, the long end of the ill curve became an anchor because the Fed says, we're at zero, we don't care, we're recovering from a recession. There was some attempt at doing fiscal in the US, if you remember, to restore some economic growth.

inflation temporarily went to 4% annualized, and so the market was like, what is this? Rates at zero, inflation at four, fiscal on top, let's go. I think I remember Gold and Silver had a massive rally in the last part of 2011, the long and yield, the long and part of the yield curve steepened, and then they came in with this operation twist, which is nothing else, then basically buying back a bunch of long and bonds and funding it via issuing short-term bonds, right? It's relatively similar to what Besson does in mine. and that did have a large impact. So now question is, Brent, is it just Katayama way, just blubbering about something and it will do nothing? Because if he does nothing, then the impulse for gold and Bitcoin to keep reeling is weaker, I would say. Right. If it does, then then we're going gold, new all time highs into weeks, I think, if it does. Right, right. So you know what's interesting, man, when you were talking, I had like 50 separate ideas there. But so the first one, is that for short-term traders and even for vol traders, I would say normally you would not be watching the buybacks because who cares, they're on a schedule. But the first buyback, which I didn't have time to double check here, but I'm pretty sure it happens on the 9th and the results come on the 10th, but you can check on the Treasuries website. But like Alf said, is this implicit threat or implicit nudge, nudge, wink, wink that maybe they're going to do more. So people are going to be watching that.

Usually, we watch the same things, payrolls, retail sales, et cetera. But every now and then, some random thing like the tick data or the POMO operations in 2010 or whatever comes onto the radar. So if you're a trader, watch out for the buyback announcement because If it's not bigger, it'll be a little bit disappointing. And if it is bigger, obviously that's huge. You should be buying gold and Bitcoin on that news. The other thing I wanted to say is in 2008, Hank Paulson went in front of Congress and Fannie Mae and Freddie Mac were wobbling. And he said, if you've got a Bazooka and people know you've got it, you don't have to take it out.

two months later, they had to bail out Fannie and Freddie. So I remember that whole thing so well because when he announced that we bought so much Cross Yen because it was bullish and it was actually my best day ever at Lehman Brothers. And with so everything rallied on that day because it was like, okay, the backstop is here. And then two months later, they were bankrupt. Now, obviously, I'm not saying anything about this being like 2008, but I am saying when you announce something like that, An absolute critical or crucial part of it is credibility. And I don't think that's a political statement. I think this is a pretty objective statement to say that Besant's credibility is at the absolute lows right now. So about three months ago, I remember writing something that was just like moderately critical of something that Besant was doing. I can't remember even what it was, but I remember feeling this is a little bit edgy criticizing the Treasury Secretary. Like, I better be careful.

Also, I don't want to get, you know, there's always fear of retribution in the current regime that if you say something negative about the U.S. administration, you know, you might, there might be some kind of retaliation, but also it just felt edgy because that's, you know, it wasn't like so mainstream. Now, I mean, go on Twitter, go in the Wall Street Journal. Every single person in the world is criticizing Besson. People are wheeling out his track record at Key Square and showing how he didn't make money. all that kind of stuff is all so super mainstream that that creates a problem if you're trying to do an operation based on credibility. Like if you're selling dollar yen at 156 and people are laughing at you on Twitter and your old boss is criticizing you in public and making you look bad. And then dollar

yen is at 159.50. And then you come in a couple of weeks later and say, well, we're going to try the same thing in the bond market.

at some point, the market just kind of shrugs it off and doesn't care. So ultimately, I guess maybe to your point, the amounts have to matter enough and the action has to be repeated to reestablish credibility because there is not a lot of credibility here. All that said, yields are lower since he announced it. So maybe the joke's on everyone else. Look, the other thing that this makes me think about this portfolio construction here, because you can make all these assumptions, but at the end of the day, it takes one hot inflation print just by mere coincidence with this type of skittish behavior about, you know, the credibility of US policymaking, which was always challenged, but now Bessen seems to have like waken up a sleeping giant, which is the the long end of the bond market. Imagine there is the next core PC print is not 20 bits, but it's 30 bits. Just something like this brand. What do you think happens in the bond market? Oh my, I think they go banana, to be honest. They're like, okay, first we're going to sell the long and heavy, then we're going to basically ask the Fed to hike now and fast. And if the Fed doesn't, the Fed doesn't apparently watch doesn't tell you anymore what he's doing, right? So you basically can't even assume that he's going to do something to backstop this and reestablish credibility.

it really makes you think like where is the where is the risk here if I'm running a portfolio where is that asymmetrically can go against me and you have to think in derivatives of the long end because it just takes one strong data print in my opinion or even not even that what you were saying before is just the market says oh yeah okay let's go and test this at the next buyback you show up Hollywood 4 billion ah 4 billion okay we can take that so let's go and sell a bunch of bonds in it could be you can't predict where it comes from but it is it is definitely a release valve I would say for macro imbalances that has been dormant for a while. And now it's definitely not dormant anymore. Right. And I guess the intervention means the dollar's the release valve. And then if the yield is moving as a market rate, then the yield becomes the release valve. And I guess the question also is if worse is going to say higher long-end yields are doing the tightening for us.

And then they don't hike then higher longhand yields are being endorsed by the central bank at the same time as the Treasury is trying to reduce lower reduce backhand yields It becomes a bit of a goat rodeo or a shit sandwich if you have two parts of the government, you know operating with opposite principles But I mean, I don't think we can conclude that worse is just gonna let the long end go Although, you know, how much control does he have I guess the amount of control he has is that he can hike and I'm sure that would settle the long end. But that's also not guaranteed, right? Like that's, I think what you would assume, I don't know, it's definitely what I would assume, but it's not guaranteed. It's possible that, you know, that the whole curve just goes higher as well if they hike, right? It's not guaranteed that it comes the long end. It's a function about how they hike and when they hike. How they hike, I mean, not 50 basis point hike, but Do they hike and they give a very strong hawkish forward guidance? Well, you can't even say that anymore. I mean, apparently, Warchew doesn't want to give any forward guidance to anyone. So what is going to hike and it's going to say, yeah, and then word salad. Yeah, in that case, sorry, but the long end isn't going to like it either, I believe, Brent, right? Because the function is the Fed is behind the curve. That's something the market appreciates. They know that already. Now, let's say you hike in order to repair this.

If you're hiking is probably because it's too late anyway. So the market isn't just going to give you the benefit of that. Oh, they hike. They're such nice guy and orthodox guy. No, no, no. They hike. It's the bare minimum in my opinion. And then you have to go in and say, look, we are prepared to hike multiple times until we get control of what's going on. So basically we're talking about the US imposing what I call the emerging market medicine. That is the market doesn't like your set of policies. The release valve are the currency and the bond market. We've seen it over and over in emerging markets. And as a policymaker, you have two choices. Often you have to do them both, actually. You have to put yourself ahead of the curve, Brazil way, basically, very aggressive tightening cycle. And the second is you have to cut your primary deficit spending. Now, let me try to elaborate this two months to go to meet terms. Can you credibly see the United States cutting his primary deficit spending? The answer is no.

the ball is on Worsh court in terms of fixing this structure I mean and not like patching it with some buyback attempt just fixing it structurally and the Worsh doesn't even give forward guidance so even if he hikes once I'm not sure that that's gonna be enough so for me the only way out of this is very simple it's the data will bail them out at the end brand you can get upset as much as you want but if core PC keeps printing 20 bits I mean I'm sorry the Fed policy is relatively appropriate at that point because inflation starts converging slowly, but surely towards a two and a half percent line, right? And then there is less reason to be upset, I would say. So they can get bailed out by the data. That's possible. And the second is, as you say, the bazooka that Besson credibly says he has, then he has to make the market believe that it's there. And I'm not sure that they're in the market. Look, I might do four billion or I will do four billion is enough. Perhaps if we have to go down that route, it will be a bit like the JPY.

They had to spend a lot of money so far to try and defend the JPY. And we are still at 160, by the way. But I think this is really boring as an outcome. But I think there's also another case where we just keep on grinding around. The soft landing continues. Nominal growth stays around here. If you look at where we're 10-year yields in August of 2023, They were exactly where they are here. So the 30 years a little higher, but generally like yields are kind of unchanged in the last three years. So I don't know. I feel like it's a very tricky conflict between the structural story is pretty clear, right? Bigger deficits since 2017. The TCGA unlocked the idea that you can run massive deficits at the peak of the cycle and just keep on pouring gasoline on the fire.

And so fiscal policy decoupled from the real economy. And we've been doing that now for nine years. And yields normalized. But they're not really going that crazy high considering what deficits and all that are doing. So there's all these nonlinear possibilities. The long end breaks because of deficits and high nominal growth. there's the data bales at the Fed and inflation goes back to 2%. But then there's also this weird steady state, which we seem to be in for years, which is 6% nominal, 3% inflation, and tens around four and a half and party on. I don't know. So that's kind of like the nothing stops this train. And I feel like that's actually been a core view that you've had is just like things aren't that bad. And Every now and then

the media heats up about this debt stuff and all that, but like I sort of said at the top of the show, 20 trillion, 30 trillion and 40 trillion, it's very difficult to separate what is the difference between those three numbers, especially when consumer and business debt is basically almost zero and it's all been moved to the sovereign balance sheet. Is that scary? I don't know. I mean, it feels like it should be, but I think Sometimes it's better to ignore all the structural stuff on my time horizon and focus more on cyclical and and like what's going on in the next few months because otherwise you can always get sucked into Bons are going to collapse the dollars gonna collapse and gold is gonna go to infinity and Those are not bad long-term trades probably but I feel like sometimes it's too easy to get sucked into the doom dooming doom and gloom deficit narrative when because it just makes so much sense right like how can you just keep increasing that and keep spending more money and never have to pay the piper but literally people were saying that in 1985 so I'm just trying to keep an open mind to the idea that deficits do matter so like I'm not saying deficits don't matter I think deficits are a big part of what why we have these supply shocks currently why we have more inflation than we would have otherwise and but I think A lot of times deficits don't matter in the way that people think they do. Deficits are usually bullish equities, et cetera. So I think it's more like trying to maintain some kind of nuanced view in a world where all the headlines are just screaming 40 trillion. 40 trillion. So a few words on that. First, you said something very interesting, which is it might be scary that liabilities and debt is moving from the private sector balance sheet to the public sector balance sheet.

I think it's great. I think it makes our system much more stable. Let's take a look at all the developed market crisis since 1990, or you can go back earlier if you want. They all come from excess private sector leverage, not public sector leverage. So the 2008 crisis, what was that? That was housing leverage, right? So that's private sector leverage. The Asian tiger crisis, what was that? Again, that was the private sector, Asian corporates, Thai corporates, Korean corporates. The Eurozone crisis, which was also a real estate crisis in Ireland and Spain and in the Netherlands after, again, housing market, private sector balance sheet. So I'm not saying it doesn't matter because if you borrow not in your currency, if you borrow in foreign currency, then you're liable, let's say, to foreign investors in not in your

currency. That makes, of course, all the emerging markets of that crisis come back to mind, Russia or whatever, Argentina.

But if you borrow in your own currency, Brent, then from a macro perspective, this problem for me is like a distribution where we're often at the body of the controllable risk parameters. And the only thing that makes it go banana is inflation. Because the result of excessive deficit spending in your own currency brings a tail risk that is inflation. That's your risk, right? And then we look at what's happening now. Is the US excessively borrowing in their own currency? Yeah. Is the US excessively printing deficits versus the cycle? Yes. Can you say that core inflation is going out of control? It's high. Is it going completely out of control? You don't have the evidence to say that. It's been above target for a while, but in macro, in my experience, the second derivative matters more than the first derivative. So first derivative is year-on-year change. Is core inflation high? Yes, it's been 3% instead of 2% for a bunch of time. Fair enough.

Second derivative, can you look at the last 12 months or six months and say this is going out of control? No, no looking at the data You can't say that and the same by the way with the labor market that's even worse brand if you look at the labor market Which is another potentially inflationary source or deflation resource the labor market is not only not out of control on the inflationary side You can say it's pretty mild So I really can't endorse the idea that oh the excessive deficit spending is leading to the macro tail that really matters, which is inflation out of control. It doesn't show up in the data. Right. And that kind of goes back to the idea of this steady state, like we're in in some kind of weird equilibrium here since 2023, where nominal growth and inflation and everything are just kind of like always the same, right? There isn't a ton of volatility on the macro side. And I mean, that is usually the best explanation for why fx vol or you know I'm an fx guy generally but it's that's usually a pretty good explanation for why macro asset vol is low is that macroeconomic volatility is low what you want for higher you know financial market vol if that's your if that's your thing is you want dispersion of macroeconomic outcomes within countries and across countries and really we're not getting like a ton of that Um, there are some interesting things. I guess we're running out of time, but, um, for example, New Zealand is talking about labor, the labor party there. This

hasn't got a ton of coverage, uh, but the labor party there wants to go back to a dual mandate, which in the sort of world of central banking is interesting because they just went to a single mandate in 2023, which is classic extrapolation bias, right? Like in, in 2020.

2021, the Fed adopted flexible average inflation targeting because they had missed the target so many years in a row to the downside. Like the worst possible timing, obviously they extrapolated into the future and then they abandoned it because it was clearly stupid. And now New Zealand is going back to unemployment potentially if Labor wins the election in November. But it's actually meaningful, I think, because unemployment is quite high in New Zealand. So if you're ignoring it, then you have one policy. But if you have a dual mandate, you have a completely different policy. So to me, that's probably a reason to receive New Zealand rates and to be short the currency. If you have like a three to six month time horizon, like owning Ozzy Kiwi and things like that make a lot of sense. It's a little bit in the weeds, but that's just one thing that I've been looking at. The other thing is Canada has been moving a lot on the tariff stuff.

I'm a seller of all the tariff news at this point. You can barely see it in the economic data. Sure, it's there, but I just don't feel like it's a good reason to put on a trade. Also, the tariffs aren't that credible. They go on one day, and then the deadline is September 8, and then they're supposed to double on January 1, 2027. By that time, the US administration is going to be worrying about some other thing, not about Canadian tariffs. worried about Brazil or Greenland or something by that point. I love the reference to New Zealand for one reason. When you look for ideas that are idiosyncratic or even ribbon like this one, Labour wins election in New Zealand and therefore win states a domestic dual mandate. If you are able to engineer a trade there and you construct it correctly, it will have nothing to do with the rest of your book.

And that is the secret sauce to have a sustainable strategy because the sharp ratio of any strategy scales up with the square root of the number of independent bets you have. Now, if you're trading US, Europe and Japan, I'm sorry, but the number of independent bets you're gonna be having in the book is very low. It's very low. You will have a very directional, lowest

sharp ratio, but potentially it doesn't mean we can still be high nominal returns, but lowest sharp ratio. If you can find a good asymmetric idea, In an uncorrelated idiosyncratic theme that's worth gold literally for any allocator. So go ahead and talk about New Zealand. I'm going to chime in and reference Czech Republic just because we're talking about off the beaten path stuff. So these guys have services inflation at almost 5%. The central bank of Czech Republic doesn't really eff around that much. Mikal, which is the central banker, the governor, is a monetarist here, here. So he's actually looking at fiscal deficits directly. He's tying a knot between deficits and the sustain a bit like the stickiness of inflation in Czech Republic. And the new Prime Minister Babish has instructed the finance minister to, guess what, pump more deficits because Czech Republic has to invest in its own economies on and so forth. So that's super interesting. Czech Republic from a macro perspective looked for many years like a mini Germany.

super low amount of public debt, very conservative monetary policy type of approach. And if you remember what happened in 2025 when Germany told everyone, I'm going to do fiscal deficits is that bond yields went up and the currency became stronger. And here you have a central banker that is not going to sit there and wait is probably going to respond to this by hiking interest rates and make the Czech corona more palatable. So today you hear about the Czech corona and you hear about New Zealand interest rates. What a fun podcast this is. And so just to make sure I understand, so you think Eurocheck lower for the next like three, six, 12 months kind of thing? Yeah, I think so. I mean, it's already going, but because they're scared, it's a very low vault pair, Eurocheck. You can also say Czech versus Poland. It's a more idiosyncratic expression. Poland is on the other side of it. They have elections next year. They're hitting their constitutional debt limit as well. So they cannot really pump a lot of deficits going forward.

This might slow down a bit their economy. So if you want to make it really deosyncratic, you go along the check room and short polish slotty. If you want a bit more directional, positive carry, you can do Euro check down, but it's a check story. Portfolio construction is up to whoever is listening to us. And I love talking about this stuff, you know, because we can talk at now. See, I'm about buybacks but maybe your central scenario happens and and nothing happens you know data comes in a bit weaker nominal growth

is stuck there everybody loses the mojo to talk about besent and drachemiller writing with ai by the way personal opinion who cares But okay, some people think that like writing is an art, which is also fair, I would say. I don't think that Dr. Kimbiller thought that writing was an art. I think he thought that he wanted to spend the least amount of time possible on this thing. And he went through a prompt to Claude to produce an AI written thing with his own ideas. That was a fun thing to see. Everybody getting very upset about it. Okay. I guess in the end, the verdict will just be that good writing is good writing and Writing that's full of cliches and and is bad is just bad writing and that I think that's where it's gonna all land is that AI or not AI Bad writing is just bad writing and good writing is good writing and that's it There will be I can guarantee my bet is that you will never see brandonally say It's not X X Y You're not gonna see that happening on a brandonally piece neither of mine, but I encourage you to look at the ideas and content more than how it's written. But of course, if you appreciate the art of writing, that's a different story. This was a lot of fun. We hope to be back next week. We will, if there is anything interesting to talk about, guys. Next week, I'm in Canada, so I will not be back next week. Unless we do it earlier in the week, we might be back.

We can figure it out. I promise you, I won't be here talking to myself for 35 minutes. So either Brent is here or it's not. Stay tuned. Subscribe to the thing so you get a notification when we're out and you need to check your phone like a maniac every Monday or whenever we release here. So we talk soon, guys. Always a pleasure. And as of right now, next week is Schrodinger's podcast. Yeah, exactly. The content provided on the macro trading floor podcast is for general information purposes only. No information or other content provided in this podcast should be considered as investment advice. Seek independent professional consultation in the form of legal, financial and fiscal advice before making any investment decision. Always perform your own due diligence.